

**UNITED STATES OF AMERICA
FEDERAL ENERGY REGULATORY COMMISSION**

Ensuring Timely and Orderly
Interconnection of Large Loads

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Docket No. RM26-4-000

**REPLY COMMENTS OF
SOUTHEAST PUBLIC INTEREST ORGANIZATIONS**

Pursuant to the Federal Energy Regulatory Commission's (FERC or Commission) Notice Inviting Comments¹ on the Secretary of Energy's October 23, 2025 Advance Notice of Proposed Rulemaking (ANOPR),² Southern Environmental Law Center, Appalachian Voices, North Carolina Sustainable Energy Association, South Carolina Coastal Conservation League, and Southern Alliance for Clean Energy (together, Southeast Public Interest Organizations) submit these comments in reply to select initial comments on the ANOPR filed by entities located in or affecting the Southeast.

This proceeding has aroused divergent opinions from all corners of the industry. The one point on which nearly all commenters agree is the unprecedented nature of the looming demand growth created by large loads. As Southeast Public Interest Organizations and many others recognized in their initial comments, the size, speed, and density of this surge threaten to overwhelm the transmission grid and the ability of ratepayers to subsidize its expansion. Appropriately, many states have taken actions to address this extraordinary spike—including some in the Southeast, which has experienced more aggressive large load growth than most regions. The Commission must ensure that any large load interconnection reforms it adopts in this proceeding do not handcuff states' ability to continue doing so. At the same time, the interstate nature of the transmission grid presents a unique opportunity for the Commission to

¹ Notice Inviting Comments, Docket No. RM26-4-000 (Oct. 27, 2025).

² *Ensuring Timely and Orderly Interconnection of Large Loads*, Advance Notice of Proposed Rulemaking, Secretary of Energy (2025).

establish commonsense large load interconnection measures to protect existing customers from large load growth and the grid expansion it will require. The Commission can and must do so in manner that preserves cooperative federalism and respects jurisdictional boundaries.

In crafting these rules, the Commission must also recognize that unprecedented challenges require innovative solutions. Longstanding practices that served the industry in stable times are ill-equipped to accommodate a blitzkrieg of large loads and dedicated network upgrades. This is particularly true with respect to cost allocation. Broadly spreading the costs of upgrades meant to integrate and benefit massive loads will overburden existing customers and further incentivize the piecemeal grid expansion that the Commission has found to be unjust and unreasonable.³ Rather, as many diverse commenters recognize, only proactively planned transmission facilities can both affordably serve large loads and benefit the broader customer base.⁴ To protect ratepayers and expand the grid in a mutually beneficial manner, the Commission must take this opportunity to encourage proactive regional and interregional transmission planning for all needs—including large loads—and to deter continued reliance on inefficient, one-off upgrades. Directly assigning the costs of large load-caused network upgrades and sequestering them from the broader rate base would accomplish this necessary goal.

I. INTERACTION WITH STATE EFFORTS

A. A Commission rule standardizing large load interconnection would complement rather than disrupt state progress.

As Southeast Public Interest Organizations pointed out in their initial comments,⁵ utilities across the Southeast have proposed, and several state regulators have accepted, rules governing

³ See *Building for the Future Through Electric Regional Transmission Planning and Cost Allocation*, Order No. 1920, 187 FERC ¶ 61,068, at P 103 (2025), *order on reh'g*, Order No. 1920-A, 189 FERC ¶ 61,126 (2024), *order on clarification*, Order No. 1920-B, 191 FERC ¶ 61,026 (2025).

⁴ See, e.g., AEP Initial Comments at 15-18; Google Initial Comments at 2-5.

⁵ Southeast Public Interest Organizations Initial Comments at 36.

retail sales to large loads.

For example, just last week, the Virginia State Corporation Commission (SCC) accepted Dominion Energy Virginia's (Dominion) proposed large load rules.⁶ They create a separate rate class for large loads over 25 MW that have a measured or expected load factor of at least 75 percent.⁷ They establish minimum contract terms with exit fees, collateral and proof of credit requirements, minimum demand charges, and allowable capacity reductions.⁸ Similarly, as the Georgia Public Service Commission (Georgia PSC) notes in its initial comments, it accepted a Georgia Power Company (Georgia Power) proposal earlier this year to establish rules for large loads at or above 100 MW.⁹ Like Dominion, Georgia Power included minimum contract terms and credit requirements.¹⁰ Finally, as part of a recent settlement in South Carolina, Duke Energy Carolinas, LLC and Duke Energy Progress, LLC (together, Duke Energy) proposed to work with stakeholders to file rules to apply to large loads over 50 MW.¹¹ Possible provisions could relate to minimum contract periods, collateral requirements, exit policies, interconnection costs, or flexible interconnection, among others.¹² Dominion, Georgia Power, and Duke Energy's reforms and proposals are examples of positive initial steps Southeastern states have taken to address large loads.

⁶ See Va. State Corp. Comm'n, Final Order, Va. State Corp. Comm'n Case No. PUR-2025-00058 (Nov. 25, 2025).

⁷ *Id.* at 23.

⁸ *Id.* at 24-27.

⁹ See Georgia Public Service Commission Initial Comments at 1-2; Georgia Power Company, Cover Letter Request for Approval of Revisions to Georgia Power Company's Rules and Regulations, Ga. Pub. Serv. Comm'n Docket No. 44280, at 2-3 (Dec. 11, 2024).

¹⁰ Ga. Pub. Serv. Comm'n, Order Approving Revisions to Georgia Power Company's Rules and Regulations, Ga. Pub. Serv. Comm'n Docket No. 44280, at 1 (Jan. 28, 2025); Georgia Power Company, Cover Letter Request for Approval of Revisions to Georgia Power Company's Rules and Regulations, Ga. Pub. Serv. Comm'n Docket No. 44280, at 2 (filed Dec. 11, 2024).

¹¹ See Duke Energy Carolinas, LLC, Agreement and Stipulation of Partial Settlement Regarding Large Load, S.C. Pub. Serv. Comm'n Docket No. 2025-172-E, at 6 (filed Nov. 11, 2025); Duke Energy Progress, LLC, Agreement and Stipulation of Partial Settlement Regarding Large Load, S.C. Pub. Serv. Comm'n Docket No. 2025-154-E, at 6 (filed Oct. 27, 2025).

¹² See, e.g., Duke Energy Progress, LLC, Agreement and Stipulation of Partial Settlement Regarding Large Load, S.C. Pub. Serv. Comm'n Docket No. 2025-154-E, at 6 (filed Oct. 27, 2025).

The Commission can implement reforms for large load interconnection without undermining these constructive state efforts. Unlike the terms and conditions of large load interconnection that the ANOPR contemplates, the reforms that these states have developed clearly apply to the rates, terms, and conditions of retail sales, such as contract terms and minimum demand charges. The Commission would certainly overstep its jurisdictional bounds should it try to implement similar provisions as part of this proceeding. Nor can the Commission preempt states from adopting similar measures in the future, as states must be free to regulate the terms and conditions of large load retail service as they see fit.

On the other hand, to Southeast Public Interest Organizations' knowledge, Southeastern states have not established formal interconnection processes for large loads seeking to connect to the transmission system¹³ or dedicated studies to identify necessary transmission upgrades. As Southeast Public Interest Organizations explained in their initial comments, the Commission's authority over facilities used for transmission in interstate commerce enables the Commission to impose transmission-level interconnection rules along these lines.¹⁴ As such, there is ample room for the Commission to explore reforms for large load interconnection without disturbing state efforts.

B. Commission action on large load interconnection in this proceeding could be additive to state efforts.

Southeast Public Interest Organizations demonstrated in their initial comments that Commission rules governing large load interconnection could have two primary ratepayer protection effects: (1) establishing a formal interconnection process with financial commitments

¹³ In a recent rate case, the SCC did direct Dominion to file a "new large load interconnection queue process . . . in a separate future proceeding at the" SCC. Va. State Corp. Comm'n, Final Order, Va. State Corp. Comm'n Case No. PUR-2025-00058, at 22 (Nov. 25, 2025). As of yet, however, the company has not proposed a separate interconnection queue for large loads interconnecting to the transmission system.

¹⁴ Southeast Public Interest Organizations Initial Comments at 25-34.

should improve load forecasting, lowering the likelihood that transmission providers build unnecessary infrastructure;¹⁵ and (2) allocation of 100 percent of the cost of network upgrades to the large loads that caused them would protect existing customers from rate increases for facilities from which they derive little or no benefit.¹⁶ Both would supplement the fundamentally different ongoing state efforts to regulate large load retail sales.

First, large load interconnection processes could help solidify load forecasts that underlie transmission build-out. For the most part, state efforts to regulate large loads have focused on establishing contractual and financial commitment provisions, like minimum contract terms, minimum demand charges, and exit fees, to deter speculative interconnection requests. This should, in turn, improve the accuracy of large load forecasting. In many cases, however, these efforts have yet to bear fruit. For example, since the Georgia PSC accepted Georgia Power's large load rules this past January, the company has started to see a decrease in its overall pipeline, yet continues to include uncommitted large loads in its proposed planning forecast.¹⁷ As Georgia PSC staff points out, Georgia Power's load forecast still overestimates materialization of large loads, even over periods as short as six months ahead.¹⁸ The further out Georgia Power's model goes, the more inaccurate: error rates exceed 100 percent when forecasting just over one year ahead.¹⁹ Georgia PSC staff has therefore concluded that Georgia Power's model, even after implementing disciplinary measures, "does not exhibit reasonable accuracy."²⁰

¹⁵ *Id.* at 39-45.

¹⁶ *Id.* at 45-49.

¹⁷ See Gorgia Power Company, Ga. Pub. Serv. Comm'n Docket No. 56002, 2025 Integrated Resource Plan Update Large Load Economic Development Report Q3 2025, at 1 (filed Nov. 21, 2025).

¹⁸ See Georgia Public Service Commission Public Interest Advocacy Staff, Direct Testimony and Exhibits of Robert L. Trokey, Dylan A. Drugan, and Karan A. Pol, Ga. Pub. Serv. Comm'n Docket No. 56310, at 23:5-13 (filed Nov. 12, 2025).

¹⁹ *Id.* at 24:3-6.

²⁰ *Id.* at 23:13.

Since state efforts to discipline large load speculation, improve load forecasts, and soften cost impacts on other customers may not suffice on their own, a Commission interconnection rule could serve to further firm up large load forecasts. Indeed, state-imposed retail commitments may not fully mitigate speculative requests because developers typically sign Electric Service Agreements imposing those commitments later in the process, after developers have a sense for the required facility costs and timing.²¹ A large load interconnection process could require large loads to commit to an interconnection request earlier than when a retail service obligation would otherwise attach.²² This could be characterized as a belt-and-suspenders approach, but given the enormous cost of interconnecting large loads and their price insensitivity, imposing layered financial commitments may be necessary to reduce speculative interconnection requests and any stranded transmission investment that results.

Second, state efforts to regulate large loads are not clearly allocating the costs of transmission upgrades to the large loads that cause them. While utilities and state regulators stress the importance of large loads paying their “fair share” and protecting other customers from bearing the associated costs,²³ none of the aforementioned state-level reforms have required large loads to pay the full cost of transmission upgrades they cause or otherwise insulate existing customers from their impact. Instead, states and their regulated utilities have opted for a business-as-usual approach of spreading transmission costs—including the substantial costs

²¹ See Southeast Public Interest Organizations Initial Comments at 19 (citing London Economics International, LLC, *Uncertainty and Upward Bias are Inherent in Data Center Electricity Demand Projections*, at 13 (July 7, 2025)).

²² However, as discussed below, the Commission must ensure that it does not disrupt the sequencing of large load interconnection and the commencement of retail service in a manner that would impair reliability or increase costs to ratepayers.

²³ See, e.g., Georgia Public Service Commission Initial Comments at 1-2 (discussing the tariff changes that the Georgia Public Service Commission accepted to ensure that new customers over 100 MW pay their fair share of costs); Duke Energy Initial Comments at 8 (discussing how its Electric Service Agreements ensure that large load customers pay their fair share).

dedicated solely to interconnecting large loads—across all ratepayers.²⁴ Utilities often claim that interconnecting large loads will “put downward pressure on rates that will benefit all customers[.]”²⁵ but this is only true where the large loads do not require significant investment in new infrastructure whose costs are spread to all ratepayers. In any event, trends across the country belie these claims.²⁶ As Southeast Public Interest Organizations demonstrated in their initial comments, large load interconnections can have uniquely acute cost impacts on existing customers given their size, high load factors, and tendency to site in concentrated pockets over a short period of time.²⁷ The Commission’s statutory obligation to ensure just and reasonable transmission rates and uphold its cost causation principles dictates that it must act to address this issue.

Commission action to establish large load interconnection procedures would therefore provide a necessary supplement to state efforts to protect existing customers from the associated cost impacts. Indeed, failure to do so would allow unjust and unreasonable cost allocation approaches to persist.

C. The Commission can craft large load interconnection rules that enable orderly state-jurisdictional processes and accommodate future state reforms.

As it develops a large load interconnection process, the Commission must ensure that any such procedures do not enable transmission-connected large loads to outpace state approval of

²⁴ See, e.g., Southeast Public Interest Organizations Initial Comments at 8-17.

²⁵ See, e.g., Georgia Power Company, Cover Letter Request for Approval of Revisions to Georgia Power Company’s Rules and Regulations, Ga. Pub. Serv. Comm’n Docket No. 44280, at 1 (Dec. 11, 2024).

²⁶ See, e.g., Mike Jacobs, UNION OF CONCERNED SCIENTISTS, *Data Centers Are Already Increasing Your Energy Bills. We Have the Receipts*, (Sept. 29, 2025), <https://blog.ucs.org/mike-jacobs/data-centers-are-already-increasing-your-energy-bills/> (UCS Report); see also Kristi E. Swartz and Drew Kann, ATLANTA JOURNAL-CONSTITUTION, *Analysts warn Georgia Power bills will rise if PSC approves data center buildout* (Nov. 24, 2025), <https://www.ajc.com/business/2025/11/analysts-warn-georgia-power-bills-will-rise-if-psc-approves-data-center-buildout/> (“Georgia Power residential customers could see monthly bills jump \$20 or more if the PSC allows the utility to complete the historic power fleet expansion it has proposed to support an influx of data centers.”).

²⁷ See Southeast Public Interest Organizations Initial Comments at 1.

the associated retail service.²⁸ Failure to do so could impair reliability to other customers or result in stranded transmission assets. As the SCC suggests in its initial comments, the Commission could prevent such sequencing issues by enabling individual transmission-owning utilities to maintain large load interconnection queues, as opposed to the Regional Transmission Organization (RTO) or Independent System Operator (ISO) to which they belong.²⁹ This could enhance efficiency by leaving the load interconnection queue in the hands of the entity that “has insight into the retail system that will serve the new load” rather than a further-removed and/or regional entity that would otherwise rely on the utility for that information.³⁰

In response to concerns that this proceeding could harm efficiency by resulting in two separate load interconnection queues, one for large transmission-connected loads regulated by the Commission and one for all other loads regulated by the state,³¹ the Commission could encourage joint state and federal interconnection queues. As the North Carolina Utilities Commission notes, the state’s adoption of cluster studies for generator interconnection preceded Order No. 2023.³² Consequently, Duke Energy in the Carolinas has also been ahead of the curve when it comes to combining its federal and state generator interconnection queues, a joint effort among South Carolina, North Carolina, and the Commission. According to Duke Energy, the state-federal coordination has enabled the utility “to more efficiently administer a combined queue that contains both state-jurisdictional and FERC-jurisdictional projects.”³³ Duke Energy has asserted that the “uniformity in these provisions across all interconnection processes,

²⁸ See, e.g., North Carolina Utilities Commission Public Staff Initial Comments at 3 (“A Commission rule prescribing methods, timing, and transmission pricing for interconnecting load to the transmission system could not . . . provide any right for that load to be actually served as a retail customer[.]”).

²⁹ See Virginia State Corporation Commission at 6.

³⁰ *Id.*

³¹ See *id.* at 3.

³² See North Carolina Utilities Commission Initial Comments at 4.

³³ Duke Energy, Compliance Filing, Docket No. ER24-1554-000, at 13-14 (filed Mar. 18, 2024).

transparency to customers of these provisions, consistency in application of the process across 3 jurisdictions (two states and federal), and efficiency in administering the same provisions in such jurisdictions” has produced benefits to customers that outweigh the upfront cost and effort to coordinate interconnection provisions.³⁴ If utilities wish to implement their own interconnection queues that apply to loads not captured by the Commission’s reforms in this proceeding, the Commission could encourage joint state and federal efforts to produce similar benefits.

More broadly, the Commission can continue to accommodate evolving state efforts to address large loads by framing any final rule as establishing a national floor of ratepayer protection from the costs associated with large load interconnection. While these interconnection-specific procedures fundamentally differ from the retail service reforms states have adopted to this point, a final rule would have the effect of creating a baseline level of consumer safeguards. And, as required by the jurisdictional framework, states would remain free to impose retail policies that more rigorously regulate large loads if they desire to do so. Establishing this national floor of ratepayer protection through interconnection process reforms would strike the right balance between respecting cooperative federalism and preventing a race to the bottom. On one hand, states retain the flexibility to adopt retail service-related policies that are more stringent yet still compatible with federal policy. On the other hand, ratepayers in states that implement minimal or no large load rules in order to attract them still receive some level of protection.³⁵

³⁴ *Id.* at 14.

³⁵ Southeast Public Interest Organizations note, however, that large load regulations do not seem to undermine a state’s competitiveness in attracting large loads. After Virginia, Texas has the most data centers in the United States. DATA CENTER MAP, US Data Centers (last accessed Dec. 2, 2025), <https://www.datacentermap.com/usa/>. Yet the Texas state legislature has passed a bill that, among other things, enables the Electric Reliability Council of Texas to curtail large loads during grid emergencies, requires large loads to contribute to the cost of interconnection, and imposes interconnection standards on large loads. Baker Botts, *Texas Senate Bill 6: Understanding the Impacts to Large Loads and Co-located Generation* (July 18, 2025), <https://www.bakerbotts.com/thought->

II. NETWORK UPGRADE COST RESPONSIBILITY

A. Reliance on rolled-in rate treatment for large load-specific network upgrades fails to recognize unprecedented scale of large load growth and will unduly harm existing customers.

Transmission-owning utilities in the Southeast and their national representatives urge the Commission to retain its longstanding rolled-in rate policy for network upgrades caused by large load interconnections.³⁶ Citing Commission precedent from the 70's and 80's, the Indicated PJM Transmission Owners (PJM TOs) stress the Commission's decades-old reliance on this cost allocation policy and claim that "[t]here is no reason for the Commission to deviate from this approach."³⁷ Yet in the same breath, they provide a compelling reason to deviate from this approach: "the number of network upgrades that will be required to accommodate large load data center customer interconnections necessary to satisfy federal policy goals surrounding the expeditious development of artificial intelligence infrastructure is already significantly increasing, and will continue to do so into the foreseeable future."³⁸ Likewise, EEI states that "[i]ntegrating large load customers will require an unprecedented level of investment across a substantial portion of EEI members' transmission systems."³⁹ Duke Energy has "announced increases to its five-year capital plan . . . up to \$105 billion"⁴⁰ and the Southern Companies are "planning to invest over \$70 billion in the energy grid across [their] service territories" through 2029.⁴¹ The sheer scale of large load growth and the unprecedented transmission investment it will require demands that the Commission chart an alternative course.

[leadership/publications/2025/july/texas-senate-bill-6-understanding-the-impacts-to-large-loads-and-co-located-generation.](#)

³⁶ See, e.g., Duke Energy Initial Comments at 22-24; Indicated PJM Transmission Owners Initial Comments at 9-21 (PJM TOs Initial Comments); EEI Initial Comments at 8-13.

³⁷ PJM TOs Initial Comments at 11, n.21.

³⁸ *Id.* at 25-26.

³⁹ EEI Initial Comments at 11.

⁴⁰ Duke Energy Initial Comments at 7.

⁴¹ Southern Companies Initial Comments at 4.

As Southeast Public Interest Organizations outlined extensively in their initial comments, the status quo of rolled-in rate treatment places the cost of network upgrades caused by large load interconnections into rate base where it flows into rates for all customers.⁴² In PJM Interconnection L.L.C. (PJM), the costs of these upgrades—including those that directly serve large loads—are included in transmission rates paid by Load Serving Entities like Dominion, who pass the costs onto their retail ratepayers.⁴³ In bundled retail rate jurisdictions, like Georgia and the Carolinas, those costs are included in the general rate base alongside generation and distribution costs and likewise spread amongst all retail customers.⁴⁴ Those rate structures may have made sense when relatively linear, organic load growth caused modest incremental upgrades, but they were not designed for enormous and fast-paced infusions of transmission investment dedicated to serving a relatively small number of large customers. If the Commission continues to rely on this methodology for network upgrade cost recovery, it will saddle existing customers with massive rate increases solely for the purpose of serving an entirely separate pool of customers. Contrary to the PJM TOs’ assertion, it cannot be true that “[t]he expansion of the transmission system to accommodate large load data center customers represent[s] both the present and future transmission system needs the Commission foresaw . . . when it sustained rolled-in rate treatment as the just and reasonable approach.”⁴⁵ This magnitude of load growth and these impacts to ratepayers could not possibly have been on the Commission’s mind all those years ago.

Fortunately, the Commission has a clear example to follow in this proceeding. It has long allowed RTOs and ISOs “to directly assign network upgrade costs to the interconnection

⁴² See Southeast Public Interest Organizations Initial Comments at 11-17.

⁴³ See *id.* at 11-12 (citing UCS Report).

⁴⁴ See *id.* at 12-14.

⁴⁵ PJM TOs Initial Comments at 12.

customer, in addition to charging the interconnection customer the rolled-in transmission rate (i.e., ‘and’ pricing).”⁴⁶ Under this participant funding model, the interconnection customer pays the costs for the network upgrades that would not be required but for their interconnection.⁴⁷ Then, to the extent the interconnection customer purchases transmission service, it also pays the standard transmission rate that captures the costs of all other facilities on the system. The costs of the network updates are not included in rate base,⁴⁸ such that existing customers do not contribute to their cost recovery. This also prevents the interconnection customer from paying for the same upgrades twice, once through direct assignment and again in transmission rates. As the Commission has found, “a well-designed and independently administered participant funding policy for Network Upgrades offers the potential to provide more efficient price signals and a more equitable allocation of costs than the crediting approach.”⁴⁹

The Commission has allowed participant funding only in RTOs/ISOs because, as independent entities, RTOs/ISOs lack the economic incentive to prioritize certain interconnections over others in administering their interconnection queues, unlike vertically integrated utilities.⁵⁰ But, as North Carolina Public Staff rightly recognizes, there is no concern about undue discrimination in the large load interconnection context—either in RTOs/ISOs or territories served by vertically integrated utilities—because “the economic incentives for utilities

⁴⁶ *Midcontinent Indep. System Operator, Inc.*, 187 FERC ¶ 61,170, at P 5 (2024) (Initial Funding Show Cause Order).

⁴⁷ *See, e.g.*, PJM, Intra-PJM Tariffs, OATT, § 217.3(a) (4.0.0).

⁴⁸ *See, e.g.*, PJM TOs Transmittal, Docket No. ER21-2282-000, at 12 (filed June 30, 2021) (“Under the Existing Funding Model in PJM, the generator provides the upfront capital for the Network Upgrade and this capital is treated as a contribution that goes into the interconnecting utility’s rate base at \$0.”).

⁴⁹ *Standardization of Generator Interconnection Agreements & Procs.*, Order No. 2003, 68 FR 49846 (Aug. 19, 2003), 104 FERC ¶ 61,103, at P 695 (2003), *order on reh’g*, Order No. 2003-A, 69 FR 15932 (Mar. 26, 2004), 106 FERC ¶ 61,220, *order on reh’g*, Order No. 2003-B, 70 FR 265 (Jan. 4, 2005), 109 FERC ¶ 61,287 (2004), *order on reh’g*, Order No. 2003-C, 70 FR 37661 (June 30, 2005), 111 FERC ¶ 61,401 (2005), *aff’d sub nom. Nat’l Ass’n of Regul. Util. Comm’rs v. FERC*, 475 F.3d 1277 (D.C. Cir. 2007).

⁵⁰ *See* Order No. 2003, 104 FERC ¶ 61,103 at P 696.

favor interconnecting large loads.”⁵¹ Large load interconnection, whether inside or outside an RTO/ISO, therefore provides an appropriate context for replicating this participant funding model and taking advantage of the efficient price signals and equitable cost allocation it can provide.

The participant funding or “and” pricing model would better fit large load interconnection than the Commission’s traditional “higher of” or “or” pricing approach. In the latter, the transmission provider may “charge the higher of the embedded costs of the Transmission System with expansion costs rolled in, or incremental expansion costs, but not the sum of the two.”⁵² Neither of these options would equitably allocate the costs of large load network upgrades. First, as described above, the embedded or rolled-in rate approach spreads the costs of upgrades to all other customers who may not benefit from them. Second, if the incremental costs of the network upgrades exceed the embedded costs, then the large load may only cover the costs of the upgrades themselves and not contribute to the other costs of the present and future grid that serves them. As PJM TOs recognize, this could result in a situation where, over “the long term, it would effectively relieve large load from contributing to the continued development and maintenance of the transmission system, or any other part of the transmission system they are using.”⁵³ Accordingly, the Commission should directly assign the costs of network upgrades to the large loads that cause them using a similar model to participant funding for generator interconnection. This would ensure that large loads pay the costs of both the facilities whose needs they caused *and* those which will serve them now and in the future, while also protecting existing customers from unjustified rate increases.

⁵¹ Public Staff – North Carolina Utilities Commission Initial Comments at 4-5.

⁵² Order No. 2003, 104 FERC ¶ 61,103 at n.111.

⁵³ PJM TOs Initial Comments at 15.

B. The Commission should deter piecemeal grid expansion and incentivize proactively planned regional transmission by excluding large load network upgrades from rate base.

When transmission providers build discrete network upgrades for each large load customer, they expand the grid in a piecemeal, inefficient manner. The Commission recently found in Order No. 1920 that upgrading the transmission grid in this fashion “can result in relatively inefficient or less cost-effective transmission development for customers, which contributes to rates for transmission that are unjust and unreasonable.”⁵⁴ When the costs of these facilities are included in transmission rate base, they are borne by all other transmission customers who may receive little, if any associated benefit from them. More specifically, if the required network upgrades address only reliability or economic needs created by the demand the large load places on the system, then existing customers can hardly be said to have benefitted at all. If these large load-created network upgrades do not provide any meaningful systemwide benefit, then there is no rationale for rolling their costs into broadly applicable transmission rates.

By contrast, a diverse set of industry actors recognize that proactively planned transmission facilities can best integrate large loads while generating benefits for all users of the grid. For example, AEP states that “[w]idespread proactive transmission planning is the solution to address the concerns surrounding the increasing number of large load additions because it will anticipate and plan for load changes based on these load interconnections and ensure that transmission capacity exists to accommodate those load interconnections in an efficient and cost-effective manner.”⁵⁵ Google explains that, “[w]ithout a comprehensive, coordinated transmission planning process built on a more complete picture of growth in supply and demand, we will be stuck developing transmission infrastructure through piecemeal, reactive processes

⁵⁴ Order No. 1920, 187 FERC ¶ 61,068 at P 103.

⁵⁵ AEP Initial Comments at 17.

that are insufficient to secure our position as a global manufacturing and economic powerhouse for decades to come.”⁵⁶ The Data Center Coalition expresses similar sentiments.⁵⁷

These comments suggest that the Commission must do more to prioritize proactively planned transmission facilities. As Southeast Public Interest Organizations urged in their initial comments, that should include the expeditious processing of Order No. 1920 compliance filings.⁵⁸ But encouraging this type of efficient and cost-effective grid investment also requires discouraging the piecemeal expansion that Order No. 1920 sought to avoid. The Commission can do so by excluding the cost of large load-specific network upgrades from rate base. Not only would this protect existing customers from unjustly and unreasonably bearing the costs of facilities from which they derive no meaningful benefit, but it would also prevent transmission providers from earning a return on these facilities, thereby incentivizing them to prioritize transmission upgrades planned through the Order No. 1920 processes, on which they would continue to earn a return. Indeed, the Commission has already preliminarily found that tariff provisions allowing transmission providers to earn a return on network upgrades funded by interconnection customers may be unjust and unreasonable, and unduly discriminatory or preferential.⁵⁹ It can extend that determination to network upgrades identified in the large load interconnection context and directly assigned to large loads on a similar basis.

Otherwise, if the Commission continues to broadly allocate the costs of large load network upgrades, include them in rate base, and allow transmission providers to earn a return on them, it will perpetuate reliance on inefficient, piecemeal transmission expansion that harms customers. Cordoning these network upgrades off from rate base would ensure that customers

⁵⁶ Google Initial Comments at 4.

⁵⁷ See Data Center Coalition Comments at 10-11.

⁵⁸ See Southeast Public Interest Organizations Comments at 55-56.

⁵⁹ See Initial Funding Show Cause Order at PP 1, 44.

pay only the costs of facilities that have demonstrable benefits to them and encourage transmission providers to develop more broadly beneficial facilities.

III. BUNDLED RETAIL RATES

Some commenters contend that allocating 100 percent of the costs of network upgrades to large loads, among other aspects of the ANOPR, would disrupt state authority over the transmission portion of bundled retail sales.⁶⁰

As regards network upgrade cost responsibility, the Commission could avoid encroaching on any state authority by making upfront funding of network upgrades a condition of the large load's interconnection to the interstate transmission system. Cost responsibility and payment terms for these network upgrades can be established contractually, as in PJM's pro forma Upgrade Construction Service Agreement⁶¹ or the Midcontinent Independent System Operator's pro forma Facilities Service Agreement.⁶² This contractual arrangement would precede the large load beginning to take retail service from the vertically integrated utility and would dictate that the costs of network upgrades be invoiced separately. As such, these costs would never enter the utility's rate base. By treating network upgrade funding as a contractual predicate to interconnection, the Commission would not disturb the state's allocation of costs for all broadly utilized transmission facilities to retail customer classes. Large loads would still receive retail service from the vertically integrated utility, paying the retail rate that includes all other transmission costs which all other customers in its rate class pay. And, as outlined above, excluding the costs of network upgrades from rate base would ensure that all retail customers only pay for the costs of the transmission facilities that benefit them.

⁶⁰ See, e.g., Southern Companies Initial Comments at 14; Duke Energy Initial Comments at 7-9; EEI Initial Comments at 22-25.

⁶¹ See PJM, Intra-PJM Tariffs, OATT, Attach. GG (4.1.0).

⁶² See MISO, FERC Electric Tariff, Attach. X, App. 14 (34.0.0).

If the Commission were to assert its jurisdiction over transmission facilities in bundled retail states in this narrow fashion, it would have overwhelming justification to do so. Unlike in Order No. 888, when the Commission elected not to assert jurisdiction over the transmission portion of bundled retail rates,⁶³ the Commission can and must find here that directly assigning the costs of network upgrades to large loads *is* necessary to address the unjust, unreasonable, and unduly discriminatory or preferential cost allocation practices identified in this proceeding. The record already demonstrates that the cresting wave of large load-caused transmission upgrades are impacting existing customers in non-RTO/ISO areas and will continue to do so. And, as Southeast Public Interest Organizations noted in their initial comments, if the Commission applies different standards inside and outside RTOs/ISOs, it would funnel large loads and the associated transmission impacts to the jurisdictions that do not assign large loads full cost responsibility for network upgrades. Whatever thorny jurisdictional issues this raises can be minimized by (1) construing network upgrade cost responsibility as a condition of interconnection for large loads and (2) preserving the ability of states with bundled retail rates to continue allocating costs of all broadly beneficial transmission facilities amongst retail rate classes.

IV. CONCLUSION

For the foregoing reasons, Southeast Public Interest Organizations respectfully urge the Commission to develop large load interconnection reforms in this proceeding that will protect existing customers from the transmission upgrades caused by large load interconnections, while respecting state authority over retail sales to large loads.

⁶³ See *New York v. FERC*, 535 U.S. 1, 26 (2002).

Respectfully submitted,

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December 5, 2025